India: Public capex declined sharply in October

Santanu Sengupta
+91(22)6616-9042 |
santanu.sengupta@gs.com
Goldman Sachs India SPL

Arjun Varma
+91(22)6616-9043 |
arjun.varma@gs.com
Goldman Sachs India SPL

Bottom line: Central government capex contracted in October by around 28% yoy on lower capex transfer to states, while defence capex remained strong. In contrast, current expenditure increased sequentially due to higher interest payments, though remained lower than last year. On the receipts side, direct taxes sequentially declined on lower income tax and corporate tax collections. Meanwhile, GST collections contracted following rate reductions and are likely to remain muted going forward. We continue to expect the central government to meet its fiscal deficit target of 4.4% of GDP for FY26 by reducing expenditure (likely capex), to offset potential income tax and GST shortfalls.

Main Points:

- Fiscal deficit for April - October 2025 came in at 4.0% of GDP (GSe) vs. BE of 4.4% of GDP and stood at 52.6 % of the total budgeted deficit for the full fiscal year (April 2025 to March 2026), which is the lowest since 2011 (excluding FY21-22) (Exhibit 1).
- Overall expenditure contracted by 11% yoy (+18% mom s.a.), where current expenditure contracted by 8% yoy (+53% mom s.a.), while capex contracted by 28% yoy (-32% mom s.a.) on lower transfer to states for capex (Exhibit 2), while defence capex remained strong. Sequentially, current expenditure increased mainly due to higher interest payments.
- Direct tax receipts contracted sequentially by 1.2% mom s.a. mainly driven by lower income tax collections (+27% yoy, -23% mom s.a.), though remained high at around 12% on a year-over-year (yoy) basis on a low base. Corporate taxes also contracted sequentially on a higher base last month. However, on a fiscal-year-to-date (FYTD) yoy basis, income tax receipts remain subdued at 6.9% yoy (46.6% of BE), while corporate tax collections increased by a modest 5.2% yoy (47.4% of BE).
- Indirect tax collections contracted by 5.0% yoy (-3.3% mom s.a.), driven by lower goods and services tax (GST) collections, owing to the implementation of the lower GST rates which came into effect in the last week of September. Going forward, we expect GST collections to likely remain muted. Overall gross tax receipts stood at 49.5% of the total budget estimate for the current fiscal year which is the lowest since 2019 (excluding FY21).
- Going forward, we expect the central government to meet its fiscal deficit target of 4.4% of GDP through reprioritization in spending — most likely by reducing capex and/or reducing current expenditure, in order to offset the potential

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revenue shortfalls from weaker income tax receipts and GST collections.

Exhibit 1: April - October 2025 fiscal deficit at 4.0% of GDP

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Key Budget Items	Oct-25	Sep-25	% y/y	FYTD (Apr'25 - Oct'25)	BE	FYTD (yoy)	FYTD 26 (% of BE)	FYTD 26 (% of BE) Z-score**
Total Receipts	**0.7**	**4.5**	**-18.4**	**18.0**	**35.0**	**4.5**	**51.5**	***4.2***
Revenue Receipts	0.7	4.4	-17.0	17.6	34.2	3.5	51.6	***0.7***
Gross Tax Revenues	2.5	5.2	13.8	21.1	42.7	4.0	49.5	***0.6***
Direct tax	1.3	3.9	41.7	11.8	25.2	6.1	46.9	***0.6***
Income Tax	0.8	1.5	26.9	6.7	14.4	6.9	46.6	***0.0***
Corporate Tax	0.5	2.4	76.4	5.1	10.8	5.2	47.4	***1.0***
Indirect Tax	1.2	1.3	-5.0	9.3	17.5	1.4	53.2	***0.6***
GST (incl Comp cess)	0.7	0.8	-11.4	6.1	11.8	1.2	51.5	***0.2***
Less Allocation to states	2.0	1.0	14.0	8.3	14.2	15.5	58.7	***2.1***
Net Tax Revenue	0.4	4.2	12.9	12.7	28.4	-2.4	44.9	
*Non Tax Revenues**	0.2	0.3	-45.3	4.9	5.8	22.5	83.9	***1.6***
Non-debt capital receipts	0.0	0.0	-44.7	0.4	0.76	97.2	48.8	***2.1***
Expenditure	**3.2**	**4.2**	**-11.1**	**26.3**	**50.7**	**6.1**	**51.8**	***-1.3***
Revenue	2.9	2.7	-8.2	20.1	39.4	0.0	50.9	***-2.0***
Interest Payments	1.0	0.5	17.5	6.7	12.8	13.0	52.8	***1.5***
Subsidies	0.4	0.5	30.0	2.5	4.3	-0.8	57.9	***-1.2***
Current expenditure (ex Interest payments and subsidies)	1.5	1.7	-25.5	10.9	22.4	-6.4	48.5	***-2.1***
Capital	0.4	1.5	-28.3	6.2	11.2	32.4	55.1	***0.6***
Fiscal Deficit	-2.5	0.3		-8.3	-15.7		52.6	***1.3***
Fiscal Deficit (as % of GDP)^				**-4.0**	**-4.4**			

** Includes Dividends from the RBI in FY26*

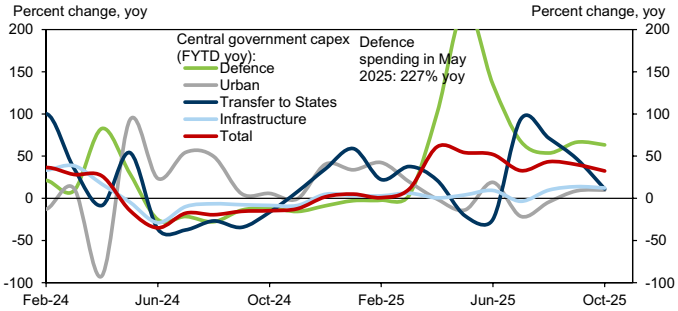
*** Current month FYTD Z-score vs. 13 year history (FY11 to FY25, leaving out the outliers from Covid years, FY21 and FY22). Higher/lower number means more/less receipts or expenditure compared to historical mean.*

^GDP is actual nominal GDP in the Apr-Sep quarter and 1/3rd of projected nominal GDP for Oct-Dec quarter

FYTD: Fiscal Year to Date (Indian fiscal year runs from April to March).

Source: CEIC, Goldman Sachs Global Investment Research

Exhibit 2: Transfer to states for capex declined significantly in October



Note: Infrastructure spending is aggregate of Commerce, Railways, and Road Transport & Highways ministries. Urban spending refers to spending of Ministry of Housing and Urban Affairs.

Source: CEIC, Goldman Sachs Global Investment Research

Disclosure Appendix

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